

MIDTERM EXAMINATION
Spring 2010

FIN630- Investment Analysis & Portfolio Management (Session - 2)

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Which of the following is **NOT** a fixed income security?

- ▶ Bonds
- ▶ Preferred stock
- ▶ Saving deposits
- ▶ **Options**

Question No: 2 (Marks: 1) - Please choose one

_____ are qualified and regulated professionals who trade shares and other securities through market makers on behalf of investors.

- ▶ **Stock brokers**
- ▶ Members
- ▶ Specialists
- ▶ Day traders

Question No: 3 (Marks: 1) - Please choose one

A self-regulatory body that licenses brokers and generally oversees the trading practices of Over the counter(OTC) securities is known as

- _____ .
- ▶ Securities and Exchange Commission (SEC)
 - ▶ **National Association of Security Dealers (NASD)**
 - ▶ Initial Public Offering (IPO)
 - ▶ Offered for Sale (OFS)

Question No: 4 (Marks: 1) - Please choose one

_____ is a temporary restriction on program trading in a particular security or market, usually to reduce dramatic price movements.

- ▶ SuperDot
- ▶ NYSE direct
- ▶ **Trading curb**
- ▶ Ticker tape

Question No: 5 (Marks: 1) - Please choose one

A procedure for valuing the price of a stock by using predicted dividends and discounting them back to present value is known as.

- ▶ **Dividend Discount Model**
- ▶ The Residual Earning Model
- ▶ None of the given options
- ▶ Capital Asset Pricing Model

Question No: 6 (Marks: 1) - Please choose one

In candlestick chart, what does white body candle depict?

- Prices are moving down ▶
- Prices are moving up ▶**
- Prices are constant ▶
- Prices are fluctuating ▶

Question No: 7 (Marks: 1) - Please choose one

Which of the following is a popular price pattern?

- Double ups ▶
- Head and shoulders ▶**
- Triangles ▶
- Resistance and support ▶

Question No: 8 (Marks: 1) - Please choose one

Primary trend in Dow Theory is known as _____.

- Wave ▶
- Triangle ▶
- Tide ▶
- Rounded bottom ▶**

Question No: 9 (Marks: 1) - Please choose one

The primary purpose of the liquidity ratios is to determine:

- ▶ The amount of earnings paid to shareholders
- ▶ The amount of working capital tied up in inventory
- ▶ The ability of a firm to pay off short-term obligations**
- ▶ The relative level of short-term debt

Question No: 10 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** regarding earning per share?

- ▶ It represents the company's current obligation
- ▶ It represents the ability of a company to repay its current liabilities
- ▶ **It represents per share profit available for distribution to the shareholders**
- ▶ It represents the percentage of earnings paid to shareholders

Question No: 11 (Marks: 1) - Please choose one

Which of the following industries is **LEAST** sensitive to changes in the business cycle?

- ▶ Manufactures of business plant and equipment
- ▶ **Machine tools and special equipment, such as for pollution control**
- ▶ Industries specializing in high technology
- ▶ A refrigerators manufacturing company

Question No: 12 (Marks: 1) - Please choose one

Which of the following industry tend to be composed of relatively volatile and risky stocks?

- ▶ Defensive industries
- ▶ **Interest sensitive industries**
- ▶ Growth industries
- ▶ Cyclical industries

Question No: 13 (Marks: 1) - Please choose one

Which of the following is defined as an unmanaged, fixed-income security portfolio put together by a sponsor and handled by an independent trustee?

- ▶ **Unit investment trust**
- ▶ Closed-end investment
- ▶ Open-end investment
- ▶ Money market fund

Question No: 14 (Marks: 1) - Please choose one

_____ are financial intermediaries that hold a portfolio of securities on behalf of their shareholders.

- ▶ **Banking companies**
- ▶ Growth companies
- ▶ Value companies
- ▶ Investment companies

Question No: 15 (Marks: 1) - Please choose one

Which of the following statement about a security is true, if its beta < 1.0?

- ▶ Security is more risky than the market
- ▶ **Security is less risky than market**
- ▶ Security is exactly as risky as maket
- ▶ It is not possible to predict riskiness of a security by beta

Question No: 16 (Marks: 1) - Please choose one

Which of the following would be considered as the most bullish indicator?

- ▶ A price decrease with heavy volume
- ▶ A price increase with small volume
- ▶ **A price increase on heavy trading**
- ▶ No change in price but an increase in volume

Question No: 17 (Marks: 1) - Please choose one

Which of the following is **NOT** an asset?

- ▶ **Accounts payable**
- ▶ Equipment
- ▶ Supplies
- ▶ Cash

Question No: 18 (Marks: 1) - Please choose one

Which of the following statement about a security is true, if it's beta > 1.0?

- ▶ **Security is more risky than the market**
- ▶ Security is less risky than market
- ▶ Security is exactly as risky as maket

- ▶ It is not possible to predict riskiness of a security by beta

Question No: 19 (Marks: 1) - Please choose one

Which of the following is **NOT** a requirement for an efficient market?

- ▶ Stock prices incorporate all information
- ▶ All known information be reflected in prices
- ▶ The adjustments occur very quickly
- ▶ **Each adjustment be perfect**

Question No: 20 (Marks: 1) - Please choose one

Which of the following allows you to specify the most you are willing to pay when buying or the least you are willing to accept when selling?

- ▶ **Limit order**
- ▶ Market order
- ▶ Stop order
- ▶ Good till cancelled order

Question No: 21 (Marks: 1) - Please choose one

In a candlestick chart, what does black body candle depict?

- ▶ Prices are moving up
- ▶ **Prices are moving down**
- ▶ Prices are constant
- ▶ Prices are fluctuating

Question No: 22 (Marks: 1) - Please choose one

Which of the following is **TRUE** regarding the Dow Theory?

- ▶ Dow Theory is primarily a fundamental analysis tool.
- ▶ Dow Theory was developed by the publisher of Forbes magazine.
- ▶ **Dow Theory identified three movements in security prices.**
- ▶ Dow Theory states that computer algorithms can be used to look for patterns.

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **TRUE** regarding price earning ratio?

- ▶ P/E=Earnings available to common stockholders/outstanding shares
- ▶ P/E=Market price per share/dividend per share
- ▶ **P/E=Market price per share/earning per share**
- ▶ P/E=Dividend per share/earning per share

Question No: 24 (Marks: 1) - Please choose one

Which of the following situations implies an upward sloping curve?

- ▶ **Accelerating economic activity**
- ▶ Static economic activity
- ▶ Slowing economic activity
- ▶ A recession period

Question No: 25 (Marks: 1) - Please choose one

Which of the following stock's price move in opposite direction to that of interest rates?

- ▶ Growth stock
- ▶ Value stock
- ▶ **Interest sensitive stock**
- ▶ Defensive stock

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** a component of ROA?

- ▶ Turnover
- ▶ **Leverage**
- ▶ Sales
- ▶ Net income margin

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement about short selling is **LEAST** accurate?

- ▶ The short seller must pay the lender of the stock any dividends paid by the company.
- ▶ The short seller is required to replace the borrowed securities within six months of a short sale.
- ▶ Proceeds from the short sale cannot be withdrawn from the account.
- ▶ **The short seller hoped that the securities prices would decrease in the future.**

Question No: 28 (Marks: 1) - Please choose one

A stop buy order is **MOST** likely:

- ▶ Used to limit the potential losses on a short sale
- ▶ **Executed if the market price is less than or equal to the specified level**
- ▶ An order to purchase a security if the price decreases to a specified level
- ▶ An order that specifies only the time limit

Question No: 29 (Marks: 3)

Outline the rationale for sector rotation?

This strategy is involving the shifting sector weights in the portfolio for taking advantage of those sectors.

That are expected to do relatively better and avoid or deemphasize those sector.

That are expected to do relatively

Question No: 30 (Marks: 3)

Keeping in view the business cycle, describe which industries are least sensitive to changes in the economy? Give two examples.

Question No: 31 (Marks: 5)

Why is industry analysis valuable?

Industry Analysis:

While all stocks carry market risk and are hurt by a recession, they will not suffer to the same degree. As pointed out earlier, a defensive stock (like a retail food chain) will be hurt less than a cyclical stock (like a steel company). Once the economy bottoms out, the cyclical stocks are precisely the place to be, because their sales and profits are closely tied to overall economic activity.

Question No: 32 (Marks: 5)

State any five objectives of studying balance sheet in fundamental analysis?